

"In my lifetime, we can abolish abject poverty"

P. CHIDAMBARAM, FINANCE MINISTER

I am a passionate advocate of the well-being of all states because if all the states are doing well, India will do well.

Unfortunately, growth is not even among the states and within a state too, growth is not even. One of the reasons why the remarkable economic growth rate across the country is criticised in some quarters is because of the unevenness of the process and unevenness of the product. It is, therefore, important for us to understand why some states succeed more than others and why within each state some parts do better than others. It is quite possible that there could be legacy issues, historical reasons. But, I believe there is no problem that cannot be overcome by applying logic and reason.

We are proud of an open society. We are proud of an open polity. Over the last 16 years, our economy has become more open, more competitive and, therefore, more productive and more healthy. Having said that, we must turn our attention to address the problems even in an open economy. There are states that are small and, therefore, their capacities are limited. There are states which are not mineral-rich or resources-rich and, therefore, their growth will be constrained. There are states which, for historical reasons, are extremely backward in terms of human development indicators, especially education and health, and that will constrain growth. But each one of these problems can be attacked by applying logic, reason and good economics.

Some myths must be dispelled. First, the myth is—the chief ministers will forgive me—that states do not have money. As of today, all states put together in India have a 14-day treasury holding of Rs 35,419 crore. Apart from that, you also have a 91 days' tea bill worth Rs 38,576 crore. States have money. In the last three years—every chief minister



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will testify to this—we have devolved upon states by way of tax revenue share, grants, Plan and non-Plan, other special grants and loans—a huge amount of money. Never before, has so much money been devolved to the states. If we continue to grow at 9 per cent, the next three years will see more money going to the states than the last three years. If we continue to grow at 10 per cent, the next six years will see more money devolved than the past six years. Therefore, you have a vested interest in growth as I have, because the faster we grow the stronger the growth rate, more money will come to the states. States have money. This is the first myth that must be dispelled.

The second myth that must be dispelled is that there are not enough programmes in this country to reach the poor. That again is entirely wrong. Every government has launched programmes. Initially of course the programme will have a slow start, but as it picks up and its pace gathers, benefits will flow. For example, the Golden

Quadrilateral was launched by the previous government. But it has gathered pace in the last three years. Likewise, we can go 10 years back, 20 years back, and look at the programmes that were launched.

In every one of these programmes, the Centre and the states are partners. No one is a big partner and a small partner. But the implementation is in the hands of the state. If the NREGP is a success in one state and not so much a success in another, the fault can only be at the level of implementation. If we implement regardless of our political differences, with a sense of partnership as well as ownership, it would be good. If you own the programme and implement it together, it is possible to make an even more frontal attack on poverty, especially on pockets of poverty, regions that are backward and take India forward.

I have no doubt in my mind—I will not be finance minister then—that in my lifetime we can abolish abject poverty in India. It will take us 20 more years of splendid growth rates—growth rates of over 8 per cent, near 9 per cent. If we can sustain it for 20 years, you will find that this country is a very different country from what it is today and what it was 15 years ago. I think it is a good that all of us are here to know what is the state of our states. The state of our states this year is better than the state of our states last year, and the state of our states this year is better than the state of our states 10 years ago. I urge the chief ministers and I urge all stakeholders to passionately commit themselves to this idea of India finding its place, India finding its feet, India growing. When state of the states improves, I will take satisfaction because the state of India has also improved.

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